

Procure Space ETF

SPCX NASDAQ

Hold	\$150.97 ▼ 2.48%	12M Price Target \$165.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.99T
------	------------------	------------------------------	--------------------------------------	-----------------------

SPCX: Starship Delay Cools Space Rally, Policy Backdrop Still Strong

WHAT HAPPENED

- SPCX pulled back 2.5% today after a nice run — the trigger is SpaceX pushing its next Starship test flight to Sept. 28. Retail investors who own SpaceX via secondary markets started selling, and since SpaceX-adjacent sentiment drives the whole space complex, the ETF got dinged too.
- Offsetting positive: NASA picked SpaceX for the StarBurst satellite mission — great for SpaceX, but a signal that NASA is doubling down on commercial partners. Rocket Lab (a top-5 SPCX holding) got passed over here, which is why the ETF didn't rally on the news.

WHY IT MATTERS

Here's the bigger picture: SPCX is essentially a leveraged bet on the government continuing to outsource space to private companies, and that trend is only accelerating. The Starship delay is noise — a week's slip doesn't change the multi-year thesis, but it does remind you this ETF trades on headlines. What matters more is that NASA keeps picking commercial providers over legacy contractors, which is structural tailwind #1. The options flow is worth flagging though — that put/call ratio of 0.46 says traders are net bullish, but the unusual \$230 puts (13k contracts, \$100M notional) tell me somebody big is buying downside protection near the 52-week high. Somebody's hedging a real position, not betting on a crash.

POLICY & POLITICAL WATCH

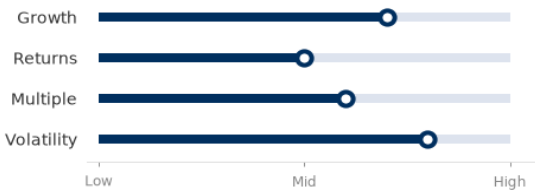
The FY2027 defense budget markup is the big one to watch — Space Force is slated for another double-digit budget increase, and roughly 60% of that flows to commercial contractors that SPCX holds (SpaceX, Rocket Lab, Iridium, Viasat). Also on the radar: the Commercial Space Act reauthorization moving through the House Science Committee, which would extend the FAA's "learning period" for commercial launch regulation — translation: less red tape for launch companies, faster cadence, more revenue. On the flip side, watch for any Trump-Musk political friction; the administration's relationship with Musk directly affects contract flow to SpaceX, which is SPCX's biggest indirect exposure.

IS IT EXPENSIVE?

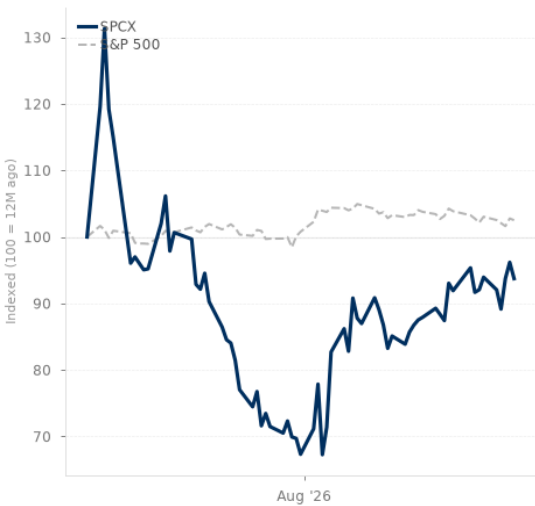
Key Data

Price (USD)	\$150.97
12M Price Target	\$165.00
Upside / (Downside)	+9.3%
Market Cap	\$1.99T
FY2026E Revenue	\$45M
FY2027E Revenue	\$62M
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$165.00	\$152.00	\$140.00
6 Months	\$185.00	\$165.00	\$135.00
1 Year	\$220.00	\$175.00	\$125.00
2 Years	\$275.00	\$200.00	\$115.00
5 Years	\$400.00	\$275.00	\$100.00
10 Years	\$650.00	\$400.00	\$90.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Defense and space contractors — Space Force budget expansion and NASA's shift to commercial partners is a multi-year tailwind. Also AI infrastructure (data centers, chips) is still getting government love.

COOLING OFF: Financials (-2.65% on 5D) and Industrials (-2.22% on 5D) — rate uncertainty and slowing capex is hurting the traditional cyclicals. Interesting that broad industrials are weak while space (a sub-sector of industrials) is holding up — that's a story about where the capital is flowing.

ROTATION WATCH: Money is rotating out of general industrials into thematic plays — space, defense, AI. The government spending flywheel is the driver: if it's a federal contract theme, it's working.

RELATED PLAY: Second-order beneficiaries are the satellite ground infrastructure names and specialty materials suppliers (like carbon composites and rocket-grade metals). If SPCX rips, look at Viasat, KTOS, or the small-cap defense contractors.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Been the darling of the space sector on Neutron rocket progress, though today's NASA snub for StarBurst is a mild negative.
- LMT (Lockheed Martin): Winning on legacy defense contracts and space systems — benefits from same budget tailwind as SPCX names.

SPCX CONTEXT: SPCX is roughly middle-of-the-pack — outperforming broad industrials but lagging pure-play winners like RKLB. That tells me the ETF wrapper is diluting the space rally with slower-growth telecom/satellite names (Iridium, Viasat). If you want maximum torque to the space theme, individual names beat the ETF; if you want diversification with less single-stock blowup risk, SPCX is the right vehicle.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio (thematic sleeve)

Entry Points: \$140-145 on space-sector pullbacks

Time Horizon: 18-36 months

Thesis Invalidation: Major Starship failure, NASA budget cuts, or Space Force contract freeze

Hedging: Pair with a broad industrials ETF or short a single overvalued space name